

23STCV20662 23STCV20662

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Case Number: 23STCV20662 Hearing Date: June 30, 2026 Dept: 834

Superior Court of California

County of Los Angeles

Department 834

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SANTA ANITA CONVALESCENT HOSPITAL & RETIREMENT
CTR. INC., et al.

Plaintiff(s),

vs.

MILDRED
DECASTRO, INC., et al.,

Defendant(s).

Case No.:

23STCV20662

Hearing Date:

June 30, 2026

[TENTATIVE]

ORDER RE: APPLICATIONS FOR WRIT OF ATTACHMENT (SANTA ANITA & OLYMPIA)

Defendants Mildred DeCastro

("DeCastro") and Mildred DeCastro, Inc. d/b/a Synergy Healthcare Resources & Solutions Group ("Synergy") (collectively, "Movants") apply for right to attach orders against Plaintiffs Santa Anita Convalescent Hospital & Retirement Center, Inc. ("Santa Anita") and 1100 South Alvarado Street, LLC dba Olympia Convalescent Hospital ("Olympia") in the amount of \$1,793,539.77. Plaintiffs oppose.

The Court has read and considered the moving and opposition papers. The applications are DENIED.

I.

Background

1. Complaint

Blah On August 29, 2023, Plaintiffs Santa Anita, Olympia, San Fernando Subacute Rehabilitation Center, LLC dba Golden Legacy Care Center ("Golden Legacy"), and Sylmar Health & Rehabilitation Center, Inc. ("Sylmar") filed a lawsuit against Synergy, Estrella "Star" Choy ("Choy"), DeCastro, and Does 1-100 for breach of written CSAs, quasi-contract, breach of fiduciary duty, and aiding and abetting breach of fiduciary duty. Plaintiffs allege Synergy, with Choy's knowledge or direction, overbilled facilities, shifted costs, backdated contracts, and charged for non-contracted services. (Compl., ¶¶ 17–75.)

2.

Procedural

Background

On January 5, 2024, the trial court granted Defendants' motion to compel arbitration and stayed this action. On May 7, 2026, Plaintiffs filed a petition to correct the contractual arbitration award. Movants filed these attachment applications on May 13, 2026. Oppositions were filed June 23, 2026; replies on June 26, 2026.

3. Facts Underlying Attachment

Applications

Synergy is a sole proprietorship providing clinical consulting, nurse registry staffing, and related services to nursing homes. (DeCastro Decl., ¶ 1.) DeCastro is Synergy's CEO and is responsible for managing its business. (DeCastro Decl., ¶ 2.)

Golden State approached Movants to provide consulting services for nursing homes owned and operated by Golden State. (DeCastro Decl., ¶ 6.) DeCastro told Golden State she did not have time to devote to its facilities, and Golden State told DeCastro she should hire nurse consultants to work under her supervision whose salaries and benefits Golden State would compensate. (DeCastro Decl., ¶ 7.) DeCastro agreed and filed a Fictitious Business Name Statement for Synergy that same year. (DeCastro Decl., ¶ 7; Exh. 2.)

On May 11, 2018, Synergy entered a master agreement to provide services to nursing homes operated by Golden State. (DeCastro Decl., ¶ 8; Exh. 2.) Synergy also entered into agreements with the nursing homes operated by Golden State, including Santa Anita, Olympia, and Golden Legacy. (DeCastro Decl., ¶ 9; Exhs. 3-5.) Then, in 2020 and 2021, Synergy, Golden State and its nursing homes entered into additional agreements, due to increased demand for nurse staffing services caused by the pandemic. (DeCastro Decl., ¶ 10.)

On February 28, 2021, Golden State and Synergy entered into a renewed agreement for Synergy to provide services to Golden State and its nursing homes. (DeCastro Decl., ¶ 11; Exh. 6.) This agreement covered Santa Anita, Olympia, Golden Legacy, Rose Garden, and Two Palms. (DeCastro Decl., ¶ 11.) Additionally, Defendants entered into individual agreements with Synergy. (DeCastro Decl., ¶ 12-14; Exhs. 7-9.) Synergy performed its services after entering into the agreements until January 29, 2023. (DeCastro Decl., ¶ 15.)

Up until July 2022, Golden State paid Synergy as invoiced. (DeCastro Decl., ¶ 16.) However, Plaintiffs stopped paying Synergy's invoices in July 2022, without disputing the amounts or rates invoiced. (DeCastro Decl., ¶ 17.) DeCastro and other team members at Synergy repeatedly followed up for payment. (DeCastro Decl., ¶ 18; Exh. 10.) Golden

State and Choy told DeCastro they would pay Synergy's outstanding invoices. (DeCastro Decl., ¶ 19.)

Synergy continued providing services until January 2023, but lack of payment became problematic because Synergy carried labor costs without payment. (DeCastro Decl., ¶¶ 20-21. DeCastro used personal savings and personal bank loans to cover outstanding amount owed by Golden State. DeCastro Decl., ¶ 22.)

On January 29, 2023, Synergy canceled its services with Golden State. (DeCastro Decl., ¶ 23; Exh. 11.) Golden State communicated that it required a 12-month payment plan to pay outstanding invoices, which Synergy rejected. (DeCastro Decl., ¶ 24; Exh. 11.) Movants never received payment. (DeCastro Decl., ¶ 25.) Golden State and its facilities owe Synergy \$929,761.85, exclusive of interest more than \$500,000. (DeCastro Decl., ¶ 26.) None of the amounts Plaintiffs owe to Synergy are secured by real property. (DeCastro Decl., ¶ 27.) Synergy does not seek these writs of attachment for any other purpose than to protect its rights to recover on the Supplemental Award against Plaintiffs. (DeCastro Decl., ¶ 28.)

Plaintiffs brought a lawsuit against Movants and others on March 21, 2023 in Los Angeles Superior Court, case no. 23STCV06198. (Beatty Decl., ¶ 2.) Movants filed a motion to compel arbitration in that case. (Beatty Decl., ¶ 3.) On August 30, 2023, Movants were dismissed from this action. (Beatty Decl., ¶ 4.) However, the day prior, on August 29, 2023, Santa Anita, Olympia, Golden Legacy, and Sylmar filed another lawsuit including Movants as defendants, bearing case no. 23STCV20662 (this action), containing many of the same allegations and theories of liability as the original action. (Beatty Decl., ¶¶ 5-6.) Movants' counsel believes Plaintiffs did so to avoid arbitration. (Beatty Decl., ¶ 6.) Central to both lawsuits is that Synergy billed Plaintiffs at inflated rates. (Beatty Decl., ¶ 7.) Movants again filed a motion to compel arbitration in this case. (Beatty Decl., ¶ 8.) Plaintiffs argued the governing contracts were forged or didn't apply. (Beatty Decl., ¶ 9.) However, the trial court compelled arbitration. (Beatty Decl., ¶ 10.)

As of May 9, 2024, Plaintiff had not yet initiated arbitration, so Movants filed a Demand for Arbitration. (Beatty Decl., ¶ 11.) When Plaintiffs appeared, they contested arbitrability again. (Beatty Decl., ¶ 12.) The Arbitrator, like the court, rejected Plaintiffs arguments and

found that only claims for payment of money due to Synergy were exempt from arbitration, but all of Defendants' claims were arbitrable. (Beatty Decl., ¶ 13.)

On February 19, 2025, the arbitrator issued his final award. (Beatty Decl., ¶ 16; Exh. 1.) Thereafter, the parties briefed the issue of prevailing party attorneys' fees and costs, and Synergy pointed out that the contract contained a prevailing party fee clause only for "lawsuits." (Beatty Decl., ¶ 17.) Plaintiffs argued that it should not apply to arbitrations. (Beatty Decl., ¶ 17.) However, the arbitrator rejected this argument and issued a supplemental award, awarding Synergy \$1,502,783.07 in fees and \$140,756.70 in costs. (Beatty Decl., ¶¶ 18-19; Exh. 2.) Then, Plaintiffs filed a petition to correct the arbitrator's supplemental award, set for hearing on July 23, 2026. (Beatty Decl., ¶ 20.) Therefore, Movants filed their petition to confirm the arbitrator's award, set for hearing on July 27, 2026. (Beatty Decl., ¶ 21.) Synergy also filed a collections action in Los Angeles Superior Court, case no. 26STCV07486, against Golden State and its facilities for the amount of unpaid invoices plus interest. (Beatty Decl., ¶ 22.)

II.

Applicable Law

"Upon the filing of the complaint or at any time thereafter, the plaintiff may apply pursuant to this article for a right to attach order and a writ of attachment by filing an application for the order and writ with the court in which the action is brought." (Code Civ. Proc. ["CCP"] § 484.010.)

The application shall be executed under oath and must include: (1) a statement showing that the attachment is sought to secure the recovery on a claim upon which an attachment may be issued; (2) a statement of the amount to be secured by the attachment; (3) a statement that the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based; (4) a statement that the applicant has no information or belief that the claim is discharged or that the prosecution of the action is stayed in a proceeding under the Bankruptcy Act (11 U.S.C. section 101 et seq.); and (5) a description of the property to be attached under the writ of attachment and a statement that the plaintiff is informed and believes that such property is subject to attachment. (CCP §

484.020.)

The application for a writ of attachment must be supported “by an affidavit showing that the plaintiff on the facts presented would be entitled to a judgment on the claim upon which the attachment is based.” (CCP § 484.030.)

The court shall consider the showing made by the parties, as well as the pleadings and other papers in the record. (CCP § 484.090(a), (d).) The Court shall issue a right to attach order if it finds all of the following:

“(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

(4) The amount to be secured by the attachment is greater than zero.”

(CCP § 484.090(a)(1-4).)

“The Attachment Law statutes are subject to strict construction....” (Epstein v. Abrams (1997) 57 Cal.App.4th 1159, 1168.)

III.

Evidentiary Matters

Santa Anita and Olympia object to several portions of the DeCastro declaration. The court overrules objections 1 and 3 through 9. The court sustains objection number 2 as to the portion claiming that Plaintiffs “appeared to not be making payments due to financial difficulties.”

Santa Anita and Olympia ask the court to take judicial notice of the following document: Minute Order in Mildred DeCastro v. Golden State Health Centers, Inc., et al. (Los Angeles Superior Court Case No. 26STCV07486), filed on 6/2/2026, attached as Exhibit 1. The request is granted. (Evid. Code § 452, subd. (d).)

IV.

Analysis

1. Claim on Which Attachment Can Be Based and Readily Ascertainable Amount

“[A]n attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees.” (CCP § 483.010(a).) “An attachment may not be issued on a claim which is secured by any interest in real property arising from agreement” (CCP § 483.010(b).)

Movants provide evidence of the arbitrator's supplemental award granted in the arbitration proceedings. The arbitrator's supplemental award explicitly states the amount of attorneys' fees and costs owed to Movants by Plaintiffs: \$1,502,783.07 in attorneys' fees and \$140,756.70 in costs. “An award that has not been confirmed or vacated has the same force and effect as a contract in writing between the parties to the arbitration.” (CCP §1287.6.) Therefore, the amount is readily ascertainable.

Additionally, Movants seek an additional \$150,000 in attorneys' fees. (Beatty Decl., ¶ 38.) Reasonable estimated attorney fees may be included in an attachment. (CCP §482.110.) Therefore, the total readily ascertainable amount is \$1,793,539.77.

Thus, these requirements are met.

2. Probable Validity of Defendants' Claims

“A claim has ‘probable validity’

where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim.” (CCP § 481.190.) “If the defendant opposes the application, ‘the court must then consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation.’ [Citations.]” (Pech v. Morgan (2021) 61 Cal.App.5th 841, 855.)

Movants rely on the arbitrator’s final award and supplemental award in their favor. (Beatty Decl., ¶¶ 16, 19; Exhs. 1-2.) Although an arbitration award typically supports probable validity, Santa Anita and Olympia argue, persuasively at this stage, that the arbitrator lacked jurisdiction to award attorneys’ fees because the governing service agreements expressly prohibit fee-shifting in arbitration.

It is well-established that judicial review of arbitration awards is extremely limited. “Because the decision to arbitrate grievances evinces the parties’ intent to bypass the judicial system ... arbitral finality is a core component of the parties’ agreement.” (Richey v. AutoNation, Inc. (2015) 60 Cal.4th 909, 916 (“Richey”), quoting Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 10 (“Moncharsh”).) Courts therefore may not review arbitration awards for factual or legal error, even if those errors appear on the face of the award or cause substantial injustice. (Moncharsh, supra, 3 Cal.4th at pp. 6, 11, 28, 33; Richey, supra, 60 Cal.4th at p. 916; Cable Connection, Inc. v. DIRECTV, Inc. (2008) 44 Cal.4th 1334, 1360.)

However, the California Arbitration Act provides limited grounds for correcting or vacating an award. (Richey, supra, 60 Cal.4th at p. 916; CCP §§ 1285, 1286.6.) Under CCP §1286.6(b), a court may correct an award if “the arbitrators exceeded their powers” and correction does not affect the merits. Arbitrators do not exceed their powers merely by interpreting a contract incorrectly, as long as the issue was within the scope of the controversy submitted. (Safari Associates v. Superior Court (2014) 231 Cal.App.4th 1400, 1403-1404, quoting Moshonov v. Walsh (2000) 22 Cal.4th 771, 775.) At the same time, arbitrators cannot award remedies that are expressly prohibited by the parties’ agreement. (Advanced Micro Devices, Inc. v. Intel Corp. (1994) 9 Cal.4th 362, 381 [“arbitrators may not award remedies expressly forbidden by the arbitration agreement”]; O’Flaherty v. Belgium (2004) 115 Cal.App.4th 1044, 1061.) “Arbitrators exceed their powers

by making an award that fails to comply with the terms of the arbitration agreement.” (Emerald Aero, LLC v. Kaplan (2017) 9 Cal.App.5th 1125, 1140-1142; accord Advanced Micro, supra, 9 Cal.4th at p. 375.) Their authority is entirely contractual. (Advanced Micro, supra, 9 Cal.4th at p. 375.)

Here, the arbitration clause in the CSAs provides: “The parties will share equally all administrative charges and arbitrators’ fees; however, each party is responsible for their own attorney fees and expenses.” (DeCastro Decl., ¶ 9; Exhs. 3-4.) In a separate “General Provisions” section, the CSAs state that a prevailing party in a “lawsuit” may recover attorneys’ fees. (Ibid.) Under CCP section 1859, when a general and specific provision conflict, the specific controls. Thus, the specific arbitration clause directive that each party is responsible for its own attorney fees governs over the general fee-shifting language applicable to lawsuits. California courts similarly hold that where an arbitration clause expressly states each party must bear its own attorney fees, that language must be enforced. (California Union Square L.P. v. Saks & Co. LLC (2021) 71 Cal.App.5th 136, 143.)

Given this contractual language and considering the pending petitions to confirm or correct the supplemental award, which will squarely present these jurisdictional issues to the trial court, the court finds that Movants have not shown it is more likely than not that they will ultimately obtain a judgment enforcing the fee award. The record supports a substantial likelihood that the arbitrator may have exceeded their powers by awarding a remedy the agreement expressly prohibits.

Thus, Movants have not shown probable validity of their claim. The court therefore does not reach the remaining elements because probable validity is dispositive.

V.

Conclusion

Defendants’ applications for attachment against Plaintiffs Santa Anita and Olympia are DENIED.

Date: June 30, 2026

HON. TIANA J. MURILLO

PLEASE TAKE NOTICE:

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Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

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If

a party intends to submit on this tentative ruling, the party may send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

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Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

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If

the parties neither submit nor appear at hearing, the court may take the matter off calendar or adopt the tentative ruling as the order of the court. After the court has issued a tentative ruling, the court may prohibit the withdrawal of the matter without leave.